

Legal Risk Analysis Report

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HIGH RISKS	MEDIUM RISKS	LOW RISKS
12	5	3

1. ● HIGH RISK

FLAGGED CLAUSE

■ *liable for ALL damages including direct, indirect, consequential, and punitive damages with absolutely no limitation*

WHY IT'S A RISK

Unlimited liability exposes the Receiving Party to potentially catastrophic financial claims with no ceiling, and waiving the right to contest damages removes any legal defence.

SUGGESTION

Negotiate a liability cap tied to fees paid under the agreement and remove the waiver of rights to contest damages claimed.

2. ● HIGH RISK

FLAGGED CLAUSE

■ *Not engage in any similar business anywhere in India for a period of 10 years*

WHY IT'S A RISK

A 10-year, nationwide non-compete is grossly overbroad, likely unenforceable under Indian contract law, but still creates a chilling effect on the Receiving Party's livelihood.

SUGGESTION

Limit the non-compete to a reasonable duration (6–12 months), a specific geography, and a narrowly defined scope of competing activity.

3. ● HIGH RISK

FLAGGED CLAUSE

■ *Not contact or solicit any employee or customer of the Disclosing Party forever*

WHY IT'S A RISK

A perpetual non-solicitation clause with no time limit is unreasonably restrictive and effectively bars the Receiving Party from normal professional networking indefinitely.

SUGGESTION

Restrict non-solicitation to a defined period (e.g., 1–2 years post-termination) and limit it to employees or customers the Receiving Party directly interacted with.

4. ● HIGH RISK

FLAGGED CLAUSE

■ *Payments delayed by even 1 day will attract a penalty of 5% per day compounded daily with no upper cap*

WHY IT'S A RISK

A 5% compounded daily penalty with no cap is an excessive liquidated damages clause that could result in astronomical debt within weeks for a minor delay.

SUGGESTION

Negotiate a reasonable late payment penalty (e.g., 1–2% per month) with a maximum cap, and request a grace period of at least 7 days before penalties apply.

5. ● HIGH RISK

FLAGGED CLAUSE

■ *Any idea, invention, or work product created by the Receiving Party during or after the term...even using their own time and resources*

WHY IT'S A RISK

Assigning ownership of work created with the Receiving Party's own resources, even after termination, is an extreme overreach that strips them of independent IP rights.

SUGGESTION

Limit IP assignment strictly to work created using the Disclosing Party's confidential information or resources, and exclude anything created post-termination with independent resources.

6. ● HIGH RISK

FLAGGED CLAUSE

■ *All disputes shall be resolved exclusively by arbitration in San Francisco, California, USA...at the sole cost of the Receiving Party regardless of outcome*

WHY IT'S A RISK

Forcing an Indian individual to arbitrate in the USA under California law at their own cost regardless of outcome is practically prohibitive and financially punishing.

SUGGESTION

Insist on arbitration seated in India (e.g., Bangalore or Kolkata) under Indian law (Arbitration and Conciliation Act, 1996) with costs shared between parties.

7. ● HIGH RISK

FLAGGED CLAUSE

■ *Disclosing Party reserves the right to modify any terms of this agreement at any time without notice*

WHY IT'S A RISK

Unilateral modification without notice means the Receiving Party could be bound by entirely new obligations they never agreed to, undermining the basis of contractual consent.

SUGGESTION

Require mutual written consent for any modifications and include a minimum notice period (e.g., 30 days) before changes take effect.

8. ● HIGH RISK

FLAGGED CLAUSE

■ *keep ALL information shared by the Disclosing Party strictly confidential FOREVER with no time limit whatsoever*

WHY IT'S A RISK

Perpetual confidentiality with no time limit is overly broad and may be unenforceable; it also prevents the Receiving Party from ever freely using general knowledge gained.

SUGGESTION

Negotiate a defined confidentiality period (e.g., 3–5 years) and carve out exceptions for information that becomes publicly available or is independently developed.

9. ● HIGH RISK

FLAGGED CLAUSE

■ *agreement may be terminated by TechCorp Solutions at any time without notice and without any reason. The Receiving Party has no right to terminate*

WHY IT'S A RISK

Completely one-sided termination rights trap the Receiving Party in the agreement indefinitely while the Disclosing Party can exit at will, creating a severe power imbalance.

SUGGESTION

Negotiate mutual termination rights with a reasonable notice period (e.g., 30 days) for both parties and define specific grounds for immediate termination.

10. ● HIGH RISK

FLAGGED CLAUSE

■ *This agreement is governed exclusively by the laws of California, USA notwithstanding that both parties are Indian residents*

WHY IT'S A RISK

Applying California law to a contract between two Indian parties performing work in India is impractical, expensive to enforce, and may conflict with mandatory Indian statutory protections.

SUGGESTION

Replace the governing law with Indian law and specify an appropriate Indian jurisdiction such as Karnataka or West Bengal courts.

11. ● HIGH RISK

FLAGGED CLAUSE

■ *Disclosing Party may assign this agreement to any third party without consent*

WHY IT'S A RISK

Allowing assignment without the Receiving Party's consent means their obligations could be transferred to an unknown third party with whom they have no relationship or trust.

SUGGESTION

Add a clause requiring prior written consent from the Receiving Party before any assignment, or at minimum a right to terminate if assignment occurs.

12. ● HIGH RISK

FLAGGED CLAUSE

■ *Sign any additional documents the Disclosing Party demands at any time without question*

WHY IT'S A RISK

A blank obligation to sign any future document without review or question could legally bind the Receiving Party to unknown and potentially harmful future terms.

SUGGESTION

Remove this clause entirely; any future documents should be individually reviewed, negotiated, and voluntarily signed by the Receiving Party.

13. ● MEDIUM RISK

FLAGGED CLAUSE

■ *automatically renews every year...must provide written notice of cancellation within 3 days before the renewal date*

WHY IT'S A RISK

A 3-day opt-out window before auto-renewal is unreasonably short, making it very easy to miss and triggering an additional year of obligations and a 20% fee increase.

SUGGESTION

Negotiate a minimum 30-day written notice window for cancellation and remove the automatic 20% fee escalation on renewal.

14. ● MEDIUM RISK

FLAGGED CLAUSE

■ *Use confidential information solely at the absolute discretion of the Disclosing Party*

WHY IT'S A RISK

Giving the Disclosing Party absolute discretion over how the Receiving Party uses confidential information is vague and could be used arbitrarily to claim a breach at any time.

SUGGESTION

Replace with specific, defined permitted uses of confidential information so the Receiving Party knows exactly what is and is not allowed.

15. ● MEDIUM RISK

FLAGGED CLAUSE

■ *information whether marked confidential or not*

WHY IT'S A RISK

Including unmarked information as confidential makes it impossible for the Receiving Party to know what is protected, creating an unreasonable risk of inadvertent breach.

SUGGESTION

Require the Disclosing Party to mark or identify confidential information at the time of disclosure, or confirm it in writing within a set period (e.g., 10 days).

16. ● MEDIUM RISK

FLAGGED CLAUSE

■ *All obligations of the Receiving Party survive termination indefinitely*

WHY IT'S A RISK

Indefinite survival of all obligations post-termination, without specifying which clauses survive and for how long, creates open-ended exposure for the Receiving Party.

SUGGESTION

Specify exactly which obligations survive termination (e.g., confidentiality, IP) and attach a defined time limit to each surviving obligation.

17. ● MEDIUM RISK

FLAGGED CLAUSE

■ *Receiving Party shall pay TechCorp Solutions a monthly retainer fee of Rs 50,000 starting from the date of signing*

WHY IT'S A RISK

An NDA typically does not include a retainer fee payable by the Receiving Party; this clause is unusual and suggests this may not be a standard NDA, with unclear consideration.

SUGGESTION

Clarify the purpose and legal basis of the retainer fee, ensure it is tied to specific deliverables or services, and confirm the payment obligation is mutual or appropriately justified.

18. ● LOW RISK

FLAGGED CLAUSE

■ *Receiving Party consents to receiving communications at any hour*

WHY IT'S A RISK

Consenting to communications at any hour with no restriction could be used to justify harassment or unreasonable demands at inconvenient times.

SUGGESTION

Add reasonable communication hours (e.g., 9am–6pm IST on working days) and specify the permitted channels of communication.

19. ● LOW RISK

FLAGGED CLAUSE

■ *No force majeure clause is present anywhere in the agreement*

WHY IT'S A RISK

The absence of a force majeure clause means the Receiving Party could be held liable for breach even if performance is prevented by events entirely outside their control.

SUGGESTION

Insert a force majeure clause excusing both parties from obligations that cannot be performed due to natural disasters, pandemics, government actions, or other unforeseeable events.

20. ● LOW RISK

FLAGGED CLAUSE

■ *No data privacy or data protection obligations are specified anywhere in the agreement*

WHY IT'S A RISK

Given the broad scope of confidential information exchanged, the absence of data privacy obligations creates compliance risk under India's Digital Personal Data Protection Act 2023.

SUGGESTION

Add a data protection clause specifying how personal data must be handled, stored, and deleted in compliance with applicable Indian privacy laws.